

08 December Company Impact and Cash Report

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Prepared by Fictional borrower finance team

For Scenario Lender D01

SYNTHETIC DEMO. The borrower Duolingo Learning Services LLC and Scenario Lender D01 are invented. No affiliation, subsidiary relationship, guarantee or actual financing by Duolingo Inc is asserted. All loan terms, financial figures, people roles, reports and events in documents 02 to 09 are fictional. Document 01 supplies real business background only.

Period availability and delivery

This consolidated update covers November and December 2026. November accounts were separately delivered on December 18, 2026. The December cohort and accounts were finalized on January 15, 2027 at 9 am New York time, when the scenario finance officer first received the finalized results and the revised cash forecast. This document, including the notice and forecast, was delivered in the fictional lender portal on January 19, 2027 at 11 am. The operative agreement remains version 1.0. No amendment, waiver or lender default notice has been issued.

Reconciled operating results

Measure	November	December
Monthly active users in millions	8.9	9.6
Opening paid accounts	840000	838250
Accounts due for renewal	70000	70000
Successfully renewed	63700	63700
Eligible trial cohort	70000	70000
Successfully converted	4550	3150
Ending paid accounts	838250	835100
Gross subscription billings in USD millions	12.285000	12.033000
Subscription revenue in USD millions	12.586875	12.550125
Total revenue in USD millions	15.736875	15.700125
Processing fee expense in USD millions	2.517375	2.510025
Processing fees withheld in USD millions	2.457000	2.406600
Hosting and AI service in USD millions	3.900000	4.800000
Other operating expense in USD millions	7.600000	9.000000
EBITDA in USD millions	1.719500	-0.609900
Opening Unrestricted Cash in USD millions	39.237500	38.953000
Closing Unrestricted Cash in USD millions	38.953000	36.166900

Each month's cohort denominator is unchanged at 70,000. Accounts that did not renew left at expiry; there were no later reinstatements, refunds or changes in definitions. Annual plans remain \$180. Recognized revenue uses the scenario's average-account convention. December other operating expense includes \$1.92m of incremental one-time campaign expenditure above the \$7.08m base run rate. November's increase was \$0.52m. Neither amount is an EBITDA add-back under C02. Management has not established whether the conversion decline was caused by free AI alternatives, campaign quality, customer mix or another factor.

Cost and cash reconciliation

Hosting and AI-service invoices increased with heavier use of resource-intensive features, including free-user sessions. No processing-fee rate or contractual settlement period changed. Processor settlement receivables remained \$6.0m at both month ends. Subscription cash receipts equal gross billings less the processing fees withheld in the table. Other receipts were \$3.15m each month. All hosting and other operating expenses shown were paid during the same month.

In each month, cash interest was \$0.45m, estimated cash-tax installments were \$0.5125m and capital expenditure was \$0.8m. Cash-tax installments follow the original payment calendar and are not that month's income-tax expense. No additional net working-capital cash movement, financing, dividend or acquisition payment occurred. Apply these outflows to beginning cash and the receipts above to reconcile ending Unrestricted Cash. Recognized revenue and fee expense must not substitute for billings and actual fees withheld in that cash bridge.

December 31 total bank cash was \$40.1669m, consisting of \$36.1669m of freely available deposits and the unchanged \$4.0m restricted reserve. Debt was \$60.0m. The fictional January to September actual schedule contains \$141.75m revenue, \$22.68m processing fee expense, \$28.35m hosting and \$63.72m other operating expense, producing \$27.0m EBITDA. Add October's actual schedule from document 06 and November and December above for the full twelve-month certificate. There are no permitted add-backs. All scheduled interest was delivered on its contractual due date.

Notice and thirteen week forecast

The Borrower supplies the finalized December conversion cohort and this forecast as its written notice under C04 and initial forecast submission under C05, without presuming the Lender's conclusion. The January 15 forecast covers the following thirteen Fridays. Values are projected end-of-week Unrestricted Cash in USD millions, already net of the restricted reserve, expected fees, interest, cash tax, capital expenditure and operating payments. They are estimates, not bank balances. Management's supporting cash schedule assumes continued weaker conversion and elevated service costs, plus previously contracted annual content and hosting prepayments. It assumes no new loan or lender waiver.

Week ending	Forecast cash
2027-01-22	35.9000
2027-01-29	35.5000
2027-02-05	34.8000
2027-02-12	34.1000
2027-02-19	33.2000
2027-02-26	32.4000
2027-03-05	31.6000

Week ending	Forecast cash
2027-03-12	30.8000
2027-03-19	30.1000
2027-03-26	29.4000
2027-04-02	28.6000
2027-04-09	29.2000
2027-04-16	30.0000

The weekly schedule begins from the latest observed December balance and includes modeled activity from January 1. Management will deliver Friday refreshes while required. The only approved baseline remains document 04; this report does not overwrite that baseline. A contemplated \$6.0m discretionary expansion project has not been contracted or paid, and it is excluded from this forecast pending a funding decision. No shareholder distribution, new borrowing or new security interest has been made.

Evidence still needed

A monthly aggregate cannot establish which acquisition cohort caused the conversion decline. Management is preparing channel-level cohorts and testing less expensive service routing. No signed savings agreement or observed conversion recovery existed at the January 15 cutoff. Later results must not be used to explain this period retrospectively.